#14 · 3.4% of marks

Ch 7 — Securitization

Pure theory — every list matters. SM TYK theory Qs: **PTS vs PTC** (para 7) · **problems in securitisation, especially in India** (para 6).

① Why & what (SM 1–2)

→ *Firms with large receivables still face a liquidity crunch; borrowing changes D/E and adds financial risk → **securitisation***

→ *Creation of a pool of assets from illiquid financial assets (receivables, loans) that are marketable — **repackaging / rebundling illiquid assets into marketable securities** (auto loans, credit-card receivables, residential mortgages, future receivables)*

→ ***RBI**: transactions where **credit risks in assets are redistributed** by repackaging them into tradable securities*

Features (6)

*(i) **Creation of financial instruments** backed by collateral (ii) **Bundling** (pooling) & **unbundling** (fixed-denomination instruments) (iii) **Risk-management tool** — on non-recourse basis, default risk shifts from originator to investor (iv) **Structured finance** — tailored to investors' risk-return profile (v) **Tranching** — pool split by risk & return (vi) **Homogeneity** — securities in a tranche are homogeneous, small denominations for small investors*

② Benefits (SM 3)

Originator (4)

*(i) **Off-balance-sheet financing** → frees capital, better liquidity, expansion (ii) **specialisation** in core business — servicing moves to SPV; non-recourse shifts default burden (iii) better **financial ratios** — banks / FIs manage capital-to-risk-weighted-asset ratio (iv) **lower borrowing cost** — rated papers (credit enhancement) issued at lower rates → originator earns a spread*

Investor (3)

*(1) **Diversification** — backed by different asset types (2) **Regulatory requirement** — eg buying micro-industry-backed assets meets RBI **Priority Sector Lending** (3) **Protection against default** — recourse to originator; insurance*

THEORY

③ Participants (SM 4)

Primary	Role
Originator	*Initiator / securitizer; sells assets on its books, receives funds; transfers **legal and beneficial interest** to SPV*
SPV	*Created only to execute the deal (company, firm, society or trust); holds legal title; **ring-fences** assets from originator's balance sheet; pays originator upfront; issues **ABS / MBS***
Investors	*Individuals, MFs, PFs, insurers, FIs; receive interest and principal*

Secondary	Role
Obligors	*Owe money to the originator — "**main root**" of the process; their credit standing is paramount*
Rating agency	*Assesses: strength of cash flow · mechanism for timely interest & principal · credit quality of obligors · liquidity support · strength of legal framework*
Receiving & paying agent *(servicer)*	*Collects from obligors, passes to SPV, follows up defaulters / legal action; usually the originator or affiliate*
Agent / trustee	*Oversees that all parties perform; protects investors*
Credit enhancer	*Originator (over-collateralisation, cash collateral) or third party / bank (letter of credit, surety bond)*
Structurer	*Investment banker / arranger; brings parties together; ensures legal, regulatory, accounting, tax compliance*

④ Mechanism (SM 5) — 7 steps

1. ***Create pool*** — *segregate similar assets (for MBS: interest rate, risk, maturity, concentration)*
2. ***Transfer to SPV***
3. ***Sale of securitised papers*** — *SPV designs instruments by interest, risk, tenure, pool (pass-through / pay-through)*
4. ***Administration*** — *sub-contracted back to the originator, who collects and passes to SPV for a fee (servicer / conduit)*
5. ***Recourse to originator*** — *unless specified otherwise, defaulted receivables go back to the originator*
6. ***Repayment*** — *SPV pays investors interest & principal from the pool*
7. ***Credit rating*** *of instruments before sale*

5 Problems, especially in India (SM 6) — TYK Q2

Problem	SM
Stamp duty	Transfer of Property Act 1882 — on mortgage debt up to **12%** in some states. **PTCs exempt** (evidence only a receivable, not debt); some states reduced duty
Taxation	No specific IT Act provision — SPV taxed as representative trustee, or investors on their share? capital-gain implications unclear
Accounting	Off-balance-sheet in name, but receivables leave the books — problem esp. on transfer **without recourse**
Lack of standardisation	Each originator uses own documentation & administration
Inadequate debt market	No developed secondary market for ABS
Ineffective foreclosure laws	Lenders struggle to transfer property on default → MBS less attractive

6 Instruments (SM 7) — TYK Q1

Basis	Pass Through Certificate (PTC)	Pay Through Security (PTS)
Cash flows	**All** receipts (interest + principal) passed on **immediately**	SPV **debt** securities backed by the assets — servicing **desynchronised** from asset cash flows
Investor's claim	Direct, **proportional beneficial interest** in assets held in trust	Claim on SPV's debt securities
Prepayment	Distributed proportionately → **skewed** early cash flows	Surplus can be **reinvested short term** by SPV
Maturity	**Single** — all terminate together on final payment	**Several tranches** with varying maturities

Stripped securities: cash flows split into **Interest Only (IO)** and **Principal Only (PO)**; highly volatile → less preferred. Yields **rise** → borrowers postpone repayment of cheaper loans → **PO price falls**; IO value **rises** (more interest). Rates **fall** → borrowers prepay → IO falls. Prices driven mainly by investor perception.

7 Pricing (SM 8)

- → **Originator's angle**: price at a rate whose outflow can be amortised over time by investing the amount raised
- → **Investor's angle**: discount best estimate of expected cash flows at the **YTM of a comparable security** (credit quality, average life); or use the yield curve + **spread** for the credit quality

8 Risks (SM 9)

- → **Credit / counter-party** — prime risk; bankruptcy and non-performance of the **servicer**
- → **Legal** — recent concept in India; no conclusive precedent or explicit statute → disputes over ownership create pay-out uncertainty
- → **Market**: (a) **macro-economic** — eg fall in industrial production hits commercial-vehicle operators → CV loan repayments; fall in CV prices → wilful default and repossession (b) **prepayment** — rates fall → retail prepayments → **reinvestment risk** (c) **interest rate** — floating pool vs fixed pay-outs (or vice versa) → shortfall even at 100% collection; hedge with **interest rate swaps**

9 Blockchain & tokenization (SM 10)

- → **Blockchain / DLT**: shared, peer-to-peer, decentralised, open ledger with no trusted third party; **append-only** — entries permanent, transactions irreversible (changes recorded as new transactions); not controlled by any bank, corporation or government. Analogy: a **shared Google Doc**
- → Flow: transaction initiated → broadcast → network validates using **cryptography** → represented as a block → block added to chain → complete

Applications (5)

(a) **Financial services** — automated trade lifecycle / transaction log of assets (b) **Healthcare** — secure, private, interoperable data (c) **Government** — land & vehicle registration, e-voting (d) **Travel** — payments, passports / IDs, reservations, insurance, loyalty (e) **Economic forecasts** — decentralised prediction markets, voting, trading

Risks (4)

(i) members' different **risk appetites**; who manages risk / accountability with no one in charge (ii) reliability depends on technology — tampered **consensus mechanism** makes data unreliable (iii) no central authority → hard to maintain **process controls**, understand general IT controls (iv) **information overload**; hard to find competent monitors

Tokenization = converting tangible and intangible assets into **blockchain tokens** (real estate, artwork). **Similar to securitisation** in: (i) **liquidity** for illiquid assets (ii) **diversification** (iii) **tradable** → wealth (iv) **new fee opportunities** for institutions.

10 Securitisation in India (SM 11)

Pioneered by **Citi Bank** (auto loans); then sales-tax deferrals, aircraft receivables. **SARFAESI Act 2002** — tackle NPAs without court. Now key funding for MFIs and NBFCs; CMBS emerging; dominated by few players (ICICI Bank, HDFC Bank, NHB). CRISIL: volumes may return near pre-pandemic high of **₹1.9 trillion** (FY19 & FY20). SEBI allows **FPIs** into securitised debt of unlisted companies up to a limit.

LINKS

11 Correlation — how Ch 7 actually connects

Ch 7 idea	The actual link (app-written cross-reference; the Ch 7 side is SM)
Tranching	***Ch 9**: CDOs use the same senior / mezzanine / equity tranches — losses hit the lowest tranche first; CDS transfers the credit risk of the tranche.*
Pricing at YTM of comparable + spread	***Ch 5**: bond value = PV of expected cash flows at YTM; spread over the yield curve for credit quality.*
IO / PO price behaviour; prepayment risk	***Ch 5**: price-yield relationship and reinvestment risk; **Ch 12**: embedded option risk (prepayment) and reinvestment risk in banks' gap analysis.*
Floating pool vs fixed pay-outs	***Ch 12**: hedge the mismatch with an interest rate swap (pay floating received from the pool, receive fixed).*
Off-balance-sheet, non-recourse	***FR Ind AS 109**: derecognition only if substantially all risks & rewards are transferred — **with recourse**, the receivables usually stay on balance sheet (the SM's "accounting problem").*
Investor diversification	***Ch 6**: a pool of many obligors diversifies unsystematic (individual default) risk; systematic (macro) risk remains — the SM's "macro-economic risk".*
SARFAESI, foreclosure	***Ch 14**: SARFAESI also requires valuations in restructuring; **AAA**: NPA / bank audit context.*
Blockchain risks	***AAA**: general IT controls, consensus-mechanism reliability = audit of automated environments.*

12 Write-in-exam lines

> ✍ **Write in exam**
> *"Securitisation is the process of repackaging illiquid financial assets such as receivables and loans into marketable securities. The RBI defines it as transactions where credit risks in assets are redistributed by repackaging them into tradable securities."*

> ✍ **Write in exam**
> *"In a pass-through certificate all cash flows from the pool are passed to investors immediately and all certificates mature together; a pay-through security is a debt security of the SPV backed by the assets, which permits tranches of different maturities and short-term reinvestment of surplus cash."*

Past papers

7 Securitization — what ICAI asked (Sep 2025, Jan 2026, May 2026)

12 marks *set across the last three attempts (3.4% of marks set). Question labels and marks are ICAI's; the one-line concept descriptions are app-written.*

Attempt	Question	Marks	Concept tested
Sep 2025	Q3(c)	4	Risks associated with the use of blockchain technology (SM section on risks of blockchain) (Theory)
Jan 2026	Q6(c) [or]	4	Securitisation instruments: name and characteristics of pass-through, pay-through (own debt securities) and strips structures (Theory)
May 2026	Q3(c)	4	Securitisation of NPAs: benefit to balance sheet versus regulatory and valuation challenges (Theory)

What follows, exactly as ICAI printed it in the AFM study material: (1) Test Your Knowledge theory questions, with the SM paragraph ICAI's answer points to; (2) every SM illustration with ICAI's solution, grouped by SM section; (3) Test Your Knowledge practical questions with ICAI's solutions.

⑦ Theory questions (SM Test Your Knowledge) with ICAI answers

Theory Q1

1. Differentiate between PTS and PTC.

ICAI answer: "Please refer paragraph 7" – SM paragraph 7 reproduced

7. SECURITIZATION INSTRUMENTS

On the basis of different maturity characteristics, the securitized instruments can be divided into following three categories:

7.1 Pass Through Certificates (PTCs)

As the title suggests, originator (seller of the assets) transfers the entire receipt of cash in the form of interest or principal repayment from the assets sold. Thus, these securities represent direct claim of the investors on all the assets that has been securitized through SPV.

Since all cash flows are transferred, the investors carry proportional beneficial interest in the asset held in the trust by SPV.

It should be noted that since it is a direct route any prepayment of principal is also proportionately distributed among the securities holders. Further, due to these characteristics on completion of

securitization by the final payment of assets, all the securities are terminated simultaneously.

Skewness of cash flows occurs in early stage if principals are repaid before the scheduled time.

7.2 Pay Through Security (PTS)

As mentioned earlier, since, in PTCs all cash flows are passed to the performance of the securitized assets. To overcome this limitation and limitation of single maturity there is another structure i.e. PTS.

In contrast to PTC in PTS, SPV debt securities are backed by the assets and hence it can restructure different tranches from varying maturities of receivables.

In other words, this structure permits desynchronization of servicing of securities issued from cash flow generating from the asset. Further, this structure also permits the SPV to reinvest surplus funds for short term as per their requirement.

While in Pass Through, all cash flows are passed on immediate basis, in PTS in case of early retirement of receivables the surplus cash can be used for short term yield. This structure also provides the freedom to issue several debt tranches with varying maturities.

7.3 Stripped Securities

Stripped Securities are created by dividing the cash flows associated with underlying securities into two or more new securities. Those two securities are as follows:

(i) Interest Only (IO) Securities

(ii) Principle Only (PO) Securities

As each investor receives a combination of principal and interest, it can be stripped into two portion of Interest and Principle.

Accordingly, the holder of IO securities receives only interest while PO security holder receives only principal. Being highly volatile in nature these securities are less preferred by investors.

In case yield to maturity in market rises, PO price tends to fall as borrower prefers to postpone the payment on cheaper loans. Whereas if interest rate in market falls, the borrower tends to repay the loans as they prefer to borrow fresh at lower rate of interest.

In contrast, value of IO's securities increases when interest rate goes up in the market as more interest is calculated on borrowings.

However, when interest rate due to prepayments of principals, IO's tends to fall.

Thus, from the above, it is clear that it is mainly perception of investors that determines the prices of IOs and POs

ICAI answer: "Please refer paragraph 7" — SM paragraph 7 reproduced

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ICAI answer: "Please refer paragraph 6" – SM paragraph 6 reproduced

6. PROBLEMS IN SECURITIZATION

Following are main problems faced in growth of Securitization of instruments especially in Indian context:

6.1 Stamp Duty

Stamp Duty is one of the obstacle in India. Under Transfer of Property Act, 1882, a mortgage debt stamp duty which even goes upto 12% in some states of India and hence impedes the growth of securitization in India. It should be noted that since pass through certificate does not evidence any debt only able to receivable, they are exempted from stamp duty.

Moreover, in India, recognizing the special nature of securitized instruments in some states has reduced the stamp duty on them.

6.2 Taxation

Taxation is another area of concern in India. In the absence of any specific provision relating to securitized instruments in Income Tax Act, experts' opinion differ a lot. Some are of the opinion that SPV as a trustee is liable to be taxed in a representative capacity whereas others are of view that instead of SPV, investors will be taxed on their share of income. Clarity is also required on the issues of capital gain implications on passing payments to the investors.

6.3 Accounting

Accounting and reporting of securitized assets in the books of originator is another area of concern. Although securitization is slated to be an off-balance sheet instrument but in true sense receivables are removed from originator's balance sheet. Problem arises especially when assets are transferred without recourse.

6.4 Lack of standardization

Every originator follows his own format for documentation and administration and hence lack of standardization is another obstacle in the growth of securitization.

6.5 Inadequate Debt Market

Lack of existence of a well-developed debt market in India is another obstacle that hinders the growth of secondary market of securitized or asset backed securities.

6.6 Ineffective Foreclosure laws

For many years efforts are on for effective foreclosure but still foreclosure laws are not supportive to lending institutions and this makes securitized instruments especially mortgaged backed securities less attractive as lenders face difficulty in transfer of property in event of default by the borrower.

Theory Q2

2. What are the main problems faced in securitisation especially in Indian context?

ICAI answer: "Please refer paragraph 6" — SM paragraph 6 reproduced

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